

KEY TERMINOLOGY

ECONOMY



- Globalisation
- Liberalisation
- Privatisation
- Disinvestments
- World Bank & IMF

MODULE - 10

- Financial Institutions
- Stock Exchanges
- Exim Policy
- WTO
- Structural Reforms



Learning Space

KEY TERMINOLOGY IN ECONOMY

GLOBALISATION



USA



EU



BARRIER



CHINA



INDIA



TAIWAN



KEY TERMINOLOGY IN ECONOMY

GLOBALISATION & LIBERALISATION



USA



EU



The process of removing this barrier is **liberalization**

If the barrier is removed, it leads to **globalization**



CHINA



INDIA



TAIWAN

KEY TERMINOLOGY IN ECONOMY

GLOBALISATION



USA



JAPAN



Korea



EU



HYUNDAI



Mercedes-Benz



KEY TERMINOLOGY IN ECONOMY



GLOBALISATION

Globalization is the tendency of investment funds and businesses to move beyond domestic and national markets to other markets around the globe, thereby increasing the interconnection of the world



PRIVATISATION

Privatization is the transfer of ownership of property or businesses from a government to a privately owned entity.



Reliance
jio



LIBERALISATION

In general, **liberalisation** refers to a relaxation of government restrictions, usually in such areas of social, political and economic policy. In some contexts, this process or concept is often, but not always, referred to as deregulation.

KEY TERMINOLOGY IN ECONOMY

GLOBALISATION



LIBERALISATION

1991



In those days, BSNL did not exist, it was Department of Telecommunications, Govt. of India



2017



Reliance
jio



vodafone



airtel



LIBERALISATION

1991



2017

JET AIRWAYS 



LIBERALISATION

1991



2017



KEY TERMINOLOGY IN ECONOMY



Learning Space

PRIVATISATION

PUBLIC SECTOR



PRIVATE SECTOR



KEY TERMINOLOGY IN ECONOMY

DISINVESTMENT

MINORITY STAKE SALE

- Keeping **majority control**.
- Selling only **minority stake** say 5%, 10%.

STRATEGIC SALE

- Coming **out of management control**
- Selling **entirely** or keeping minority stake with Govt.



KEY TERMINOLOGY IN ECONOMY

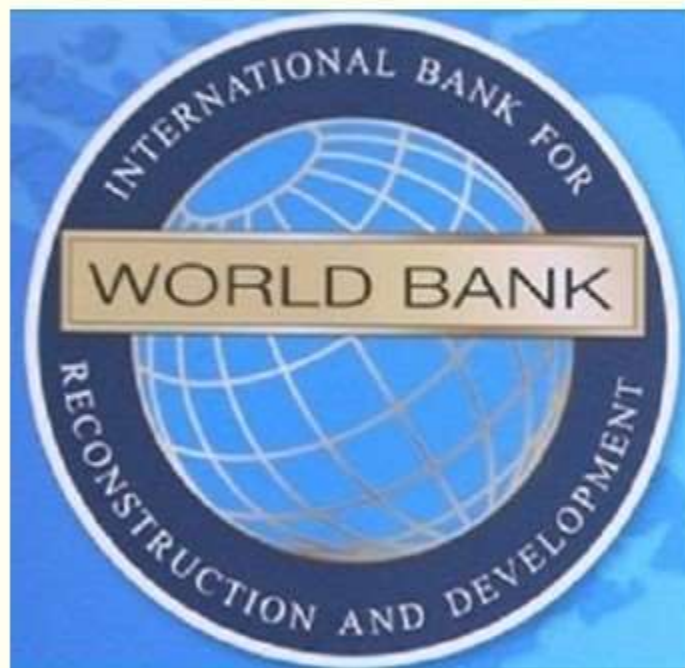


WORLD BANK GROUP





IBRD



- ✓ Formed in *July 1944*
- ✓ Main goal is “*Reduction of Poverty*”
- ✓ It provides *longer duration loans* primarily to *developing countries*
- ✓ Focus is on *Social and Economic Development*



IDA



- ✓ Established in **1960**
- ✓ With a view to finance "**Poorest of the Poor**" countries
- ✓ Gives **longer maturity loans** with very **low interest rates i.e., soft loans**
- ✓ To develop Infrastructure, Education and Health in poor countries



IFC



- ✓ Established in **1956**
- ✓ *It is the development finance institution*
- ✓ To Promote *Private Sector Development* in developing countries
- ✓ *Advises companies, Governments* in making decisions to have impact on society
- ✓ It provides *loans to business* and private sector projects



MIGA



**Multilateral Investment
Guarantee Agency**
World Bank Group

- ✓ Established in **1988**
- ✓ Gives **political risk insurance**
- ✓ Helps investors protect their investments
against political and non-commercial risks
in developing countries

ICSID



India is not a member of ICSID, where as it is the member in all other 4 organs of the World Bank group

- ✓ Established in **1965**
- ✓ To Provide Facilities For Conciliation and Arbitration of **International Investment Disputes**
- ✓ It is an international arbitration institution for legal dispute resolution
- ✓ It is also used for conciliation between international investors



IMF

- ✓ The **International Monetary Fund (IMF)** is an international organization headquartered in Washington, D.C.,
- ✓ It is working to foster **global monetary cooperation**, **secure financial stability**,
- ✓ It looks at **short term adjustments** to the countries experiencing **balance of payments problems**.



**IMF HEADQUARTERS
WASHINGTON, D.C.**

KEY TERMINOLOGY IN ECONOMY



WTO & TRADE

FOUR MAIN AGREEMENTS

1

GATT

For reduction of tariffs and other trade barriers. Signed in 1947 with modifications in 1994, it is still in vogue under the WTO framework.

**General Agreement
on Tariffs and Trade**

2

GATS

It is the multilateral trading system for services. Entered into force in January 1995.

**General Agreement
on Trade in Services**

3

TRIPS

It is an International Legal Agreement. It sets minimum standards for the regulation by national Govts of many forms of Intellectual property. It came into force on 1st Jan, 1995.

**Trade-Related Aspects of
Intellectual Property Rights**

4

TRIMS

Rules that apply to the domestic companies will also apply to foreign investors. Foreign investors should not be discriminated.

**Trade-Related
Investment Measures**

KEY TERMINOLOGY IN ECONOMY



WTO HEADQUARTERS- GENEVA

FINANCIAL INSTITUTIONS



नाबार्ड
NABARD



1

Institutions that engage in mobilization and allocation of savings

2

This is generic term, which include commercial banks, co-operative banks, development banks and investment institutions

FOREIGN EXCHANGE MARKETS



FOREIGN EXCHANGE MARKETS

This is the market, where currencies of various countries are bought and sold at the prevailing rates of exchange

KEY TERMINOLOGY IN ECONOMY

EXCHANGE RATES

**APPRECIATION &
DEPRECIATION**

APPRECIATION



↑ Rs. 40 per dollar

May
2017



↓ Rs. 65 per dollar



Rs. 100 per dollar

DEPRECIATION



**THIS IS BECAUSE
OF MARKET
FORCES**

KEY TERMINOLOGY IN ECONOMY

EXCHANGE RATES

**DEVALUATION &
REVALUATION**

REVALUATION

Rs. 40 = 1 Dollar

**May
2017**



Rs. 65 = 1 Dollar

DEVALUATION

Rs. 100 = 1 Dollar

**HERE, GOVERNMENT
FIXES THE RATE**





Learning Space

BSE
EXPERIENCE THE NEW

KEY TERMINOLOGY IN ECONOMY

STOCK EXCHANGES



National Stock Exchange of India Limited



STOCK EXCHANGE

- A market in which the securities of governments and public companies are traded
- It provides facilities for stock brokers to trade companies stocks and other securities

MERCHANDISE TRADE DEFICIT

EXPORTS



For 2016-17, India's exports
stood at \$ 275 bn

IMPORTS



For 2016-17, India's imports
stood at \$ 380 bn

EXIM POLICY



EXPORTS FROM INDIA



IMPORTS FROM ITALY

- 1 This is Export-Import policy
- 2 The economic policies of the government relating to its exports and imports

EXPORT PROMOTION



- 1 A set of measures taken by the government to promote export of goods
- 2 This is with a view to achieve higher economic growth
- 3 This will stabilise foreign exchange earnings
- 4 This may involve physical and commercial support measures and also involves steps aimed at removal of trade barriers

STRUCTURAL REFORM POLICIES



JET AIRWAYS 

 spiceJet

 IndiGo

Long-term measures like liberalization, deregulation and privatization aimed to improve the efficiency and competitiveness of the economy

PUBLIC SECTOR

 एनटीपीसी
NTPC

 BSNL
Connecting India

 बी एच ई एल
BHEL

 इंडियन ऑयल
IndianOil

PRIVATE SECTOR

 airtel

 Vodafone

 LT

 Reliance
Industries Limited

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar

V. Dayakar James

Y. Sri Poojita

G. Ravi Babu

D. Joji

K. Victor Babu

Visit us at:

www.learningspacedigital.com

0 8 6 6 -2 4 4 4 4 7 2

0 9 8 4 9 9 4 2 2 9 9